Note 11. Equity

According to the Articles of Association of Hepsor AS, the company’s minimum share capital is 3 million euros and the maximum share capital is 12 million euros. On 8 July 2025, the Supervisory Board of Hepsor AS adopted a resolution to increase the share capital of Hepsor AS by 57,821 euros. As at 31 December 2025, the share capital of Hepsor AS amounted to 3,913 thousand euros. Hepsor AS has 3,912,522 shares with a nominal value of 1 euro each.

In 2025, dividends in the total amount of 1,002 thousand euros were paid to shareholders, at 0.26 euros per share. The dividend payment was accompanied by dividend income tax in the amount of 283 thousand euros.

In July, the shareholders of Hepsor Phoenix 3 OÜ decided to allocate 24 thousand euros to the company’s voluntary reserve, of which the non-controlling interest’s share was 12 thousand euros. The amount was settled against the shareholder loan interest receivable (Note 19).

In December, the shareholders of the newly established company Hepsor PHX5 OÜ made contributions to the company’s voluntary reserve in the total amount of 5,558,510 euros. The contribution attributable to the non-controlling interest, amounting to 5,808,510 euros, was made as a non-cash contribution in the form of an immovable property located at Manufaktuuri 3, Tallinn.

Note 12. Contingent liabilities

12.1 Contingent liabilities arising from embedded derivatives

In accordance with the shareholders' agreements between the Group and the minority shareholders of its subsidiaries, the Group had, as at 31 December 2025, a contingent liability to pay 13,977 thousand euros (31 December 2024: 5,921 thousand euros) to the minority shareholders upon the realisation of the business plans. The obligation amounts are estimates calculated based on the business plans valid at the time of reporting for the respective development projects. Contingent liabilities arising from embedded derivatives are assessed at each reporting date. As at 31 December 2025, the expected realisation period for the contingent liabilities presented in the report is between 2026 and 2033.

12.2 Lawsuit

Harju District Court has accepted for proceedings the claim for damages brought by seven apartment owners of Manufaktuuri 18 against Hepsor AS’s subsidiary, Hepsor Phoenix OÜ. The claim is based on the allegation that the apartments sold to the plaintiffs during 2018–2019 have construction defects. The plaintiffs are seeking compensation in the amount of 467 thousand euros and interest calculated on that amount. The management of Hepsor Phoenix OÜ does not consider the claim to be substantiated and, based on the circumstances presented to date, considers it unlikely that the claim will be satisfied.

12.3 Group guarantees given

As at 31 December 2025, the Group has provided a guarantee to the City of Tallinn in the amount of 1,294 thousand euros to secure the subsidiaries’ obligations related to the co-financing of a kindergarten.

Information regarding guarantees provided by the Group in connection with bank loans obtained for the construction of development projects is disclosed in Note 7.

Note 13. Revenue

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Revenue from sale of real estate	33,243	36,188	3,729	9,433
Revenue from project management services	454	915	71	781
Revenue from rent	1,142	1,078	365	272
Revenue from other services	575	216	361	56
Total	**35,414**	**38,397**	**4,526**	**10,542**

Additional information on sales revenue is provided in Note 22.

Note 14. Cost of sales

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Cost of real estate sold	-27,625	-29,729	-3,015	-7,629
Personnel expenses (Note 17)	-770	-868	-218	-231
Depreciation	-4	-33	-1	-8
Other costs	-1,379	-1,005	-598	-143
Total	**-25,946**	**-31,635**	**-3,832**	**-8,011**

Note 15. Marketing expenses

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Personnel expenses (Note 17)	-244	-192	-56	-78
Depreciation	-26	-48	-8	-13
Other marketing expenses	-1,064	-658	-581	-204
Total	**-1,334**	**-898**	**-658**	**-295**

Note 16. Administrative expenses

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Personnel expenses (Note 17)	-1,141	-1,108	-293	-281
Depreciation	-69	-123	-17	-26
Traveling and transport expenses	-69	-113	-15	-33
Purchased service expenses	-342	-309	-81	-102
Other administrative expenses	-225	-149	-66	-18
Total	**-1,828**	**-1,802**	**-472**	**-460**

Note 17. Personnel expenses

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Salaries	-1,660	-1,657,	-465	-481
Social security and other payroll taxes	-495	-511	-121	-109
Total (Notes 14, 15, 16)	**-2,155**	**-2,168**	**-586**	**-590**

As at 31 December 2025, the Group, together with the members of the Management Board and the Supervisory Board, had 26 (31 December 2024: 28) employees, of which 14 in Estonia (31 December 2024: 14) and 12 in Latvia (31 December 2024: 14).

Gross fees paid to the members of Management and Supervisory Boards during the reporting period amounted to 516 thousand euros (12M 2024: 500 thousand euros).

The Group's definition of labour costs includes payroll expenses (incl. basic salary, remuneration of the members of the Management Board and the Supervisory Board, additional remuneration, holiday pay and performance pay), payroll taxes, special benefits and taxes calculated on special benefits.

Note 18. Finance income and expenses

18.1 Finance income

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Interest income	476	185	163	31
Proceeds from sale of subsidiaries	26	0	26	0
Other finance income	210	236	201	128
Total	**712**	**421**	**390**	**159**

18.2 Finance expenses

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Interest expenses (Note 19)	-2,508	-2,473	-1,038	-1,096
Loss on foreign exchange	-42	0	-1	0
Other finance expenses	-135	-105	-119	-63
Total	**-2,685**	**-2,578**	**-1,158**	**-1,159**

In 2025 borrowing costs in the amount of 1,859 thousand euros (Q4 2024: 3,740 thousand euros) have been capitalised as the cost of inventories.

Note 19. Information about line item in the consolidated statement of cash flows

in thousands of euros	31 December 2025	31 December 2024
Inventories		
Reclassification of cash flows from operating activities to financing activities (Note 2)	1,859	3,740
Decrease (-)/ increase (+) of change inventories balances (Note 2)	5,203	13,298
Change resulting from the sale of a subsidiary	0	-3,324
Change resulting from the sale of a subsidiary	-3,048	-7,667
Effective interest rate impact	102	417
Change in inventories	**4,116**	**6,464**
Interest paid		
Interest expense in statement of profit or loss and other comprehensive income (Note 18)	-2,508	-2,473
Reclassification of cash flows from operating activities to financing activities (Note 2)	-1,859	-3,740
Decrease (-)/ increase (+) of interest payables (Notes 8, 9)	833	882
Conversion of interest into voluntary reserve	12	5
Interest paid total	**-3,522**	**-5,326**

Note 20. Subsidiaries

In March, the minority shareholder paid for their 50% stake in Hepsor V7 OÜ.

On 20 March 2025, Hepsor AS's subsidiary, Hepsor Finance OÜ, founded a subsidiary, Hepsor SOF OÜ. On 11 April 2025, a 50% ownership stake in Hepsor SOF OÜ was sold to the limited partnership EfTEN Special Opportunities Fund. Hepsor Finance OÜ accounts for Hepsor SOF OÜ as a joint venture.

On 30 April 2025, Hepsor AS acquired the remaining 49% stake in Hepsor 3Torni OÜ, thereby becoming the sole owner of the company.

On 9 July 2025, Hepsor AS's subsidiary Hepsor Latvia OÜ acquired a 50% stake in Hepsor Dz74c SIA.

On 14 August 2025, Hepsor AS's subsidiary Hepsor Latvia OÜ acquired a 100% stake in Hepsor S17 SIA.

On 15 December 2025, Hepsor AS established a subsidiary, Hepsor PHX5 OÜ, in which Hepsor AS holds a 50% stake.

In December 2025, a loan liability related to the non-controlling interest in SIA "Riga Properties 4" was converted into share premium.

Changes in Group structure in 2025 and impact on comprehensive income and cash flows are as follows:

in thousands of euros	**Other comprehensive income**		**Cash flow**
	Comprehensive income attributable to owners of the parent	Comprehensive income attributable to non-controlling interest	Cash flows from investing activities
Hepsor V7 OÜ	0	0	1
Hepsor SOF OÜ	0	0	-1
Hepsor 3Torni OÜ	-49	49	-1
Hepsor PHX5 OÜ	0	0	1
Hepsor Dz74c SIA	0	0	-174
Hepsor Latvia OÜ	842	-923	-20
Hepsor S17 SIA	0	0	-1,226
SIA "Riga Properties 4"	0	249	0
Total	**793**	**-626**	**-1,421**

The changes in the Group's structure during the twelve months of 2024 and their impact on consolidated profit and cash flows were as follows:

in thousands of euros	**Other comprehensive income**		**Cash flow**	
	Comprehensive income attributable to owners of the parent	Comprehensive income attributable to non-controlling interest	Cash flows from investing activities	Cash flows from financing activities
Hepsor VT 49 OÜ	0	1	1	0
Kvarta Holding OÜ	0	0	-1	0
Hepsor U34 SIA	-43	252	0	209
Kvarta SIA	19	4	0	0
Hepsor Marupe SIA	20	-164	0	-134
Hotell L4 OÜ	-397	0	0	0
T2T4 OÜ	0	-5	0	0
Total	**-401**	**88**	**0**	**75**

✓ In March 2024, Hepsor Latvia OÜ established a subsidiary Hepsor E18 SIA.

- ✓ In April, the non-controlling shareholder of Hepsor VT49 OÜ paid for their 50% ownership stake.
- ✓ In May, the share capital of Hepsor U34 was increased by 430 thousand euros, as a result of which the Hepsor group's participation in Hepsor U34 SIA decreased by 8.6%, being 47.4%.
- ✓ The share capital of Hepsor Marupe SIA was reduced by 267 thousand euros, of which 134 thousand euros were paid to the owner of non-controlling stake.
- ✓ Hepsor AS established a subsidiary company Hepsor V7 OÜ with a 50% ownership stake.
- ✓ In June, Hepsor Latvia OÜ acquired the remaining 50% stake in Kvarta Holding OÜ, becoming the sole owner of the company. Kvarta Holding OÜ's participation in the subsidiary Kvarta SIA decreased from 100% to 50%.
- ✓ On 18 December 2025, Hepsor AS established a subsidiary, Hepsor PHX5 OÜ, in which Hepsor holds a 50% stake.

Note 21. Associates and joint ventures

At the end of reporting periods, the Group has ownership in the following associates and joint ventures:

	Ownership and voting rights %	
	31 December 2025	**31 December 2024**
Hepsor P113 OÜ	45	45
Hepsor SOF OÜ	50	0

Financial information about associates and joint ventures:

in thousands of euros	**31 December 2025 Hepsor P113 OÜ**	**31 December 2025 Hepsor SOF OÜ**	**31 December 2024 Hepsor P113 OÜ**
Current assets			
Cash and cash equivalents	188	106	210
Trade and other receivables	54	18	292
Inventories	0	10,603	0
Total current assets	**242**	**10,727**	**502**
Non-current assets			
Investment property	11,270	0	10,610
Shares of subsidiaries	3	0	3
Trade and other receivables	46	0	0
Total non-current assets	**11,319**	**0**	**10,613**
Total assets	**11,561**	**10,727**	**11,115**
Current liabilities			
Loans and borrowings	6,997	0	0
Trade and other payables	59	461	178
Total current liabilities	**7,056**	**461**	**178**
Non-current liabilities			
Loans and borrowings	6,948	9,354	13,537
Other non-current liabilities	1,230	860	771
Total non-current liabilities	**8,178**	**10,214**	**14,308**
Total liabilities	**15,234**	**10,675**	**14,486**
Total equity	**-3,673**	**52**	**-3,371**
Total liabilities and equity	**11,561**	**10,727**	**11,115**

Hepsor AS’s subsidiary, Hepsor Finance OÜ, entered into a shareholders’ agreement under which a 50% ownership stake in Hepsor SOF OÜ was sold to the EfTEN Special Opportunities Fund, a trust fund managed by EfTEN Capital. The sale of the stake in Hepsor SOF OÜ established the basis for the joint implementation of a development project located in Lasnamäe. In April, Hepsor SOF OÜ acquired from a subsidiary of the Hepsor Group the properties located at Paevälja pst 5, 7, and 9, Tallinn and in July, the properties located at Narva mnt 150 and 150a. As at 31 December 2025, the subsidiaries of Hepsor AS had granted loans to the associate Hepsor SOF OÜ in the total amount of 3,880 thousand euros.

As at 31 December 2025, 96% (31 December 2024: 77%) of P113 Tervisemaja owned by Hepsor P113 OÜ was covered by lease agreements. As at 31 December 2025, Hepsor AS had granted a loan of 2,692 thousand euros to its associate Hepsor P113 OÜ. P113 Tervisemaja is recognised as investment property. As at 31 December 2025, the fair value of the building amounted to 11.2 million euros (31 December 2024: 10.6 million euros). The valuation was performed using the discounted cash flow method. The valuation is based on existing cash flows or cash flows derived from market averages, the capitalisation rate and an appropriate discount rate reflecting the average return expectations of investors for similar assets, taking into account the location of the property, its technical condition, tenant risk profiles and other relevant factors. At the end of 2025, a capitalisation rate of 7.7% (31 December 2024: 7.7%) and a discount rate of 8.7% (31 December 2024: 8.75%) were applied in measuring the fair value of the property.

Note 22. Operating segments

The segment reporting is presented in respect of operating and geographical segments.

The Group reports separately information about the following operating segments:

- ✓ residential real estate;
- ✓ commercial real estate;
- ✓ headquarters.

Headquarters are generating revenue from provision of project management services. All personnel expenses are accounted in headquarters.

Geographical segments refer to the location of the real estate. The Group operates in Estonia, Latvia and Canada

Revenue by geographical area:

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Estonia	26,067	32,541	3,191	8,865
Latvia	9,347	5,856	1,335	1,677
Total	**35,414**	**38,397**	**4,526**	**10,542**

Additional information on sales revenue is provided in Note 13.

Segment reporting is presented on the basis of consolidated indicators, where all transactions between the Group companies have been eliminated.

in thousands of euros	Residential development			Commercial development		Headquarters		Total
12M 2025	**Estonia**	**Latvia**	**Canada**	**Estonia**	**Latvia**	**Estonia**	**Latvia**	
Revenue	25,107	8,325	0	712	816	248	206	**35,414**
incl. revenue from rent	116	1	0	594	431	0	0	**1,142**
Operating profit/-loss	4,992	1,142	-36	553	182	-2,332	-1,142	**3,359**
Assets	31,714	10,518	8,191	13,572	22,379	4,271	1,190	**91,835**
Liabilities	15,423	6,206	4,521	9,668	15,307	10,181	3,451	**64,757**

in thousands of euros	Residential development			Commercial development		Headquarters		Total
12M 2024	**Estonia**	**Latvia**	**Canada**	**Estonia**	**Latvia**	**Estonia**	**Latvia**	
Revenue	31,627	4,823	0	731	300	183	733	**38,397**
incl. revenue from rent	120	31	0	627	300	0	0	**1,078**
Operating profit/-loss	5,541	805	-47	897	102	-2,305	-661	**4,332**
Assets	37,703	10,316	6,826	12,784	16,077	4,033	1,074	**88,813**
Liabilities	24,598	7,922	3,061	9,616	10,211	7,991	3,404	**66,803**

in thousands of euros	Residential development			Commercial development		Headquarters		Total
Q4 2025	**Estonia**	**Latvia**	**Canada**	**Estonia**	**Latvia**	**Estonia**	**Latvia**	
Revenue	2,945	814	0	179	518	67	3	**4,526**
incl. revenue from rent	18	0	0	155	192	0	0	**365**
Operating profit/-loss	1,146	29	-13	124	96	-688	-348	**346**
Assets	31,714	10,518	8,191	13,572	22,379	4,271	1,190	**91,835**
Liabilities	15,423	6,206	4,521	9,668	15,307	10,181	3,451	**64,757**

in thousands of euros	Residential development			Commercial development		Headquarters		Total
Q4 2024	**Estonia**	**Latvia**	**Canada**	**Estonia**	**Latvia**	**Estonia**	**Latvia**	
Revenue	8,631	870	0	181	78	54	728	**10,542**
incl. revenue from rent	36	4	0	154	78	0	0	**272**
Operating profit/-loss	1,710	139	-35	447	57	-696	376	**1,998**
Assets	37,703	10,316	6,826	12,784	16,077	4,033	1,074	**88,813**
Liabilities	24,598	7,922	3,061	9,616	10,211	7,991	3,404	**66,803**

Note 23. Related parties

The Group considers key members of the management (Supervisory and Management Board), their close relatives and entities under their control or significant influence as related parties.

Balances and loan transactions with related parties:

in thousands of euros	31 December 2025	31 December 2024
Receivables		
Loans granted (Note 4)		
Associated companies		
Opening balance as at 1 January	2,428	1,729
Loans granted	4,144	718
Effective interest rate impact	-51	-19
Balance at the end of period	6,521	2,428
Trade and other receivables		
Management and all companies directly or indirectly owned by them	14	9
Associated companies	3	1
Interest receivables		
Associated companies	783	309
Payables		
Prepayments from customers		
Management and all companies directly or indirectly owned by them	3	564
Loans and borrowings (Note 7)		
Management and all companies directly or indirectly owned by them		
Opening balance as at 1 January	1,371	1,383
Loans received	0	4,710
Loans repaid	-1,238	-4,722
Balance at the end of period	133	1,371
Bonds		
Management and all companies directly or indirectly owned by them	390	0
Trade payables		
Management and all companies directly or indirectly owned by them	300	942
Interest payables		
Management and all companies directly or indirectly owned by them	18	27

Purchases and sales of goods and services:

in thousands of euros	12M 2025	12M 2024	Q4 2025	Q4 2024
Sales of goods and services				
Associated companies	153	117	49	26
Management and all companies directly or indirectly owned by them	90	515	50	225
Total sales of goods and services	**243**	**632**	**99**	**251**
Purchases of goods and services				
Management and all companies directly or indirectly owned by them	12,795	20,022	5,361	3,701
incl. construction service	*12,565*	*19,847*	*5,299*	*3,623*
Interest income earned				
Associated companies	474	150	185	42
Interest expenses incurred				
Management and all companies directly or indirectly owned by them				
Accrued interest	84	187	0	97
Interest paid	93	228	0	112

Note 24. Events after the reporting period

- ✓ On 11 February 2026, Hepsor E18 SIA, a Group company of Hepsor AS, signed a loan agreement with BluOr Bank AS in the amount of 5.25 million euros. The purpose of the five-year loan is to finance the construction of the Ķiršu Kalna Mājas residential development project and related infrastructure at Eiženijas iela 18, Dzirciems, Riga.

Note 25. Risk management

Risk management is part of the Group’s strategic planning and decision-making process. The Group is exposed to a number of risks and uncertainties related to, among other factors, the business and financial risks. The materialisation of any such risks could have a material adverse effect on the Group’s business, financial condition, results of operations and prospects. The Group’s risk management process is based on the premise that the Group’s success depends on constant monitoring, accurate assessment, and effective management of risks. The Group’s management monitors the management of these risks.

Strategic risk

The Group’s strategic risks are risks that can significantly impact the execution of its business strategies and ability to achieve the objectives. Such risks are impacted by changes in political environment and market demand as well as microeconomic developments. While the risks can have a negative impact on the Group’s business, they can also create new business opportunities. The Group carefully selects the new development projects and monitors the market trends in order to adjust its strategy when significant changes occur.

Market risk

Market risk is the risk arising from changes in the markets with which the Group is involved. The main market risks are price risk and interest rate risk. The Group is exposed to price risk, which arises from fluctuations in the market values of the Group’s real estate development projects or price increases due to changes in input costs. The Group cannot guarantee that it will be able to sell its projects in the future at prices similar to or higher than the expected market value of these development projects. If the Group faces difficulties in selling projects at the prices assumed in the business plans, it may have a negative impact on the Group’s operations, financial position, prospects, results, and the implementation of its strategy. To mitigate market risk, the Group’s management continuously monitors market developments and takes these into account when making development decisions.

Changes in interest rates affect the Group’s revenues and cash flows. The Group actively uses both external and internal resources to finance its real estate development projects in Estonia, Latvia, and Canada. External project financing is either through bank loans or investor loans provided by minority shareholders, which are denominated in euros.

Investor loan interest rates are typically fixed, meaning they are not floating (e.g., not linked to Euribor). The Group's bank loans, on the other hand, have floating interest rates (depending on Euribor). The bank loans have a 0% floor against negative Euribor, meaning that in the event of negative Euribor, it will be set to zero, and the margin on such loans will not decrease. Management continuously monitors the Group’s exposure to interest rate risk, primarily arising from floating-rate bank loans linked to changes in Euribor. Several bank loan agreements contain a condition that a commitment fee must be paid on any unused loan balance. The commitment fee depends on the unused loan amount, thus directly affecting the Group’s actual interest rate.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations towards the Group under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities such as trade receivables from rental property and from its financing activities, including deposits with banks and other financial instruments.

In order to minimise credit risk, the Group is only dealing with creditworthy counterparties and deposits cash in banks well-recognised banks in Estonia and Latvia. If such rating is not available, the Group uses other publicly available financial information and its own trading records to rate its major customers.

The Group is in real estate development business and upon sale of completed property the Group enters into notarised agreement with the buyer. Since most of the transactions are ensured either with money deposited in the notary's deposit account or a bank loan, the Group is not exposed to material credit risk from trade receivables.

Liquidity risk

The Group’s liquidity represents its ability to settle its liabilities to creditors on time. A careful management of liquidity and refinancing risks implies maintaining the availability of funding through an adequate amount of committed credit facilities. Due to the nature of the Group’s business activities, the Group actively uses external and internal funds to ensure that timely resources are always available to cover capital needs.

The Group manages liquidity risk by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities. The Group mitigates refinancing risk by monitoring liquidity positions, analysing different financing options on an ongoing basis and negotiating with financing parties over the course of financing.

Capital risk

The Group’s liquidity represents its ability to settle its liabilities to creditors on time. Careful management of liquidity and refinancing risks implies maintaining the availability of funding through an adequate amount of committed credit facilities. Due to the nature of the Group’s business activities, the Group actively uses external and internal funds to ensure that timely resources are always available to cover capital needs.

Currency risk

The Group’s activities are mainly carried out in the currency of the economic environment of the companies: in Estonia and Latvia in euros (EUR) and in Canada in Canadian dollars (CAD). The Group’s currency risk arises from the translation of the functional currency of the Canadian subsidiary into the Group’s functional and presentation currency. In order to mitigate currency risks, the Group concludes as many contracts as possible in euros. The majority of intra-group transactions are carried out in euros. The growth of business in Canada leads to the Group’s exposure to currency risks. As at 31 December 2025, the Group is not significantly exposed to currency risks, therefore, the Group has not used instruments to hedge currency risks.

Management Board's Confirmation

The Management Board confirms that the unaudited interim report for fourth quarter and twelve months of 2025, which is comprised of the management report and the interim financial statements, provides a true and fair view of the Group's operations, financial position and results of operations, and describes the significant risks and uncertainties the Group faces.

Martti Krass
Member of Management Board
Tallinn, 17 February 2025